

Bharat Heavy Electricals Limited

BHEL | Industrials

ROE	ROCE	OPM
1.2%	2.9%	3.0%
D/E Ratio	Interest Coverage	EPS
0.36	1.6x	■1.00

5-Year Financial Trend

Year	Revenue (Cr)	Net Profit (Cr)
2024-03	■23,893	■282
2023-03	■23,365	■654
2022-03	■21,211	■445
2021-03	■17,309	■-2,700
2020-03	■21,463	■-1,468

Cash Flow Intelligence

Metric	Value
CFO Quality	Accrual Risk
CapEx Intensity	Moderate
Capital Allocation	Severe Distress
FCF 5Y CAGR	N/A
Distress Flag	YES ■

✓ Investment Strengths (Pros)

- Established company with historical financial data and market presence

■ Investment Concerns (Cons)

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum